

NOTES

5 What if You Die?

- * India had the 'traditional' version of a life insurance policy till 2001, where you bought a money-back or endowment policy. Once the insurance industry opened up to private firms, a new market-linked version was introduced called a unit-linked insurance plan. This kind of an insurance plan gives the option to the investor to invest in stocks or bonds, or a combination of both. The fat commission for a first-time sale and a booming stock market gave rise to the big ULIP scam in India.

7 Let's De-Jargon Investing

- * The Suits use 'underlying' all the time to confuse people; all it means is the product in which the investment is made. So in an equity mutual fund, the underlying is stocks.

10 Putting It All Together

- * You have been 'churned' when an insurance agent makes you stop funding an old policy and sells you a new one. He has already harvested the high first-year commission on the old policy and will now harvest the commission on the new one. Commissions go down over time on life insurance products and, therefore, the incentive to keep selling you newer policies. Stockbrokers also churn direct stock investors because they make money each time they buy and sell. Therefore, brokers encourage people to trade, on the stock market, rather than invest.